Breakout direction, confirmation. The breakout direction is downward by definition. I measured the rise from A to B and computed a retrace of 38.2% of that rise. If the stock dropped to that price (on the move from B to C), then it qualified as breaking out downward. Meeting the retrace was also the entry signal.

The pattern confirms as valid when it retraces at least 38.2% of the prior rise (breaks out downward).

Duration. I limited the length of the pattern from 14 days to 3 months. Shorter than 2 weeks and price didn't climb far enough to be a valid turn or it was composed of one tall price bar followed by a retrace. Longer than 3 months and the pattern often didn't resemble an inverted V. You can use your own guidelines, of course, but that is what I used.

Focus on Failures

Figure 71.3 shows what a failure of a V-top looks like. The V-top pattern is at ABC. Price makes a strong push higher, from A to B, in a straight-line run up. That's how it should be. The move measures from the low at A (38.26) to the peak at B (47.02) for a rise of 23%, easily meeting the 15% minimum.